On a related note, at the early stages of learning how to build a tax administration, the officials should have low powers of investigation and punishment. If high powers are given to officials, alongside the poor checks and balances of an early-stage organization, this will yield a collapse into intimidation and corruption. Only after a tax administration is working at high levels of probity with low tax rates, low powers of investigation and low penalties, can we consider gently raising these powers.

These are the natural sequencing opportunities: to build the easy pieces first, to learn state capacity on simple problems, and then come to the more difficult ones.

Example 45: The Indian pension reforms

Sequencing issues were central to the Indian pension reforms. There were three elements to the Indian pension reforms problem: mandatory pensions for private firms (that was done by Employees' Provident Fund Organisation [EPFO]), mandatory pensions for civil servants, and the vast uncovered unorganized sector.

Policymakers chose to build the New Pension System starting with the civil servants. This was motivated by many elements of reasoning. New institutional infrastructure needed to be built and proven, and civil servants' group was a compact problem where this could commence. The credibility of the reform would be heightened with the 'eat your own dog food' character of the reform starting with civil servants.

Once the NPS worked, the employees of private firms would clamour to exit EPFO. Finally, word of mouth through civil servants (who are credible parties in their engagement with the larger populace) would gradually draw in voluntary unorganized sector participation into the NPS, without requiring the reduced returns for pensioners that are associated with expensive sales campaigns.